

ZOMATO'S USER SEGMENTATION



Impact of increase in user review

Here's a **guesstimation** for the change in revenue due to increased reviews, considering Zomato's 2023 **revenue** of **\$3.15 billion**:

Assumptions:

- Review Impact on Order Value: A **10%** increase in **positive reviews** leads to a **2%** increase in average order value (AOV). This assumes that positive reviews influence user choice and lead to higher-priced orders.
- Review Impact on Order Frequency: A **10%** increase in **positive reviews** leads to a **1%** increase in **order frequency** (orders per user per month).

Calculation:

- Revenue Increase from AOV:
 - 2% increase in AOV(\$7) on \$3.15 billion = \$63 million
- Revenue Increase from Order Frequency:
 - 1% increase in order frequency on \$3.15 billion = \$31.5 million
- Total Revenue Increase:
 - \$63 million + \$31.5 million = \$94.5 million



Target Segment



- Users from the age group 20-30.
- Belonging to the Tier 1 cities.
- Orders 3-5 times on a weekly basis

Why this segment?

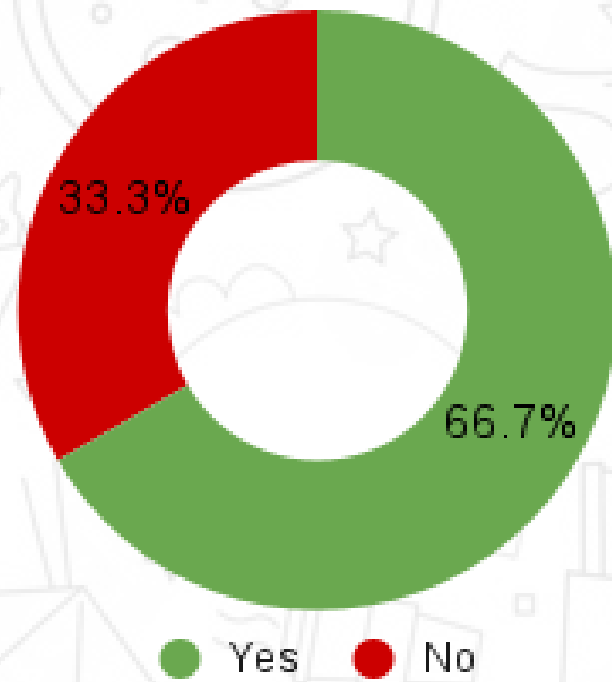
- Frequency of ordering from Zomato: 3-5 times per week.
- 85.71% of respondents ordering more than 3 times per week are from Tier 1 and 2 cities.
- They are more likely to review due to higher engagement with the application.
- Their tech-savvy nature, this demographic is poised to offer comprehensive feedback.



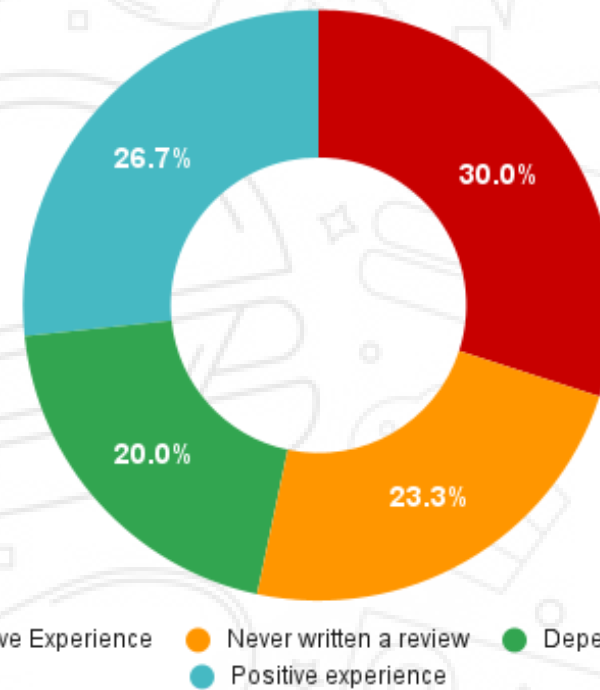
USER RESEARCH INSIGHTS

Survey Insights

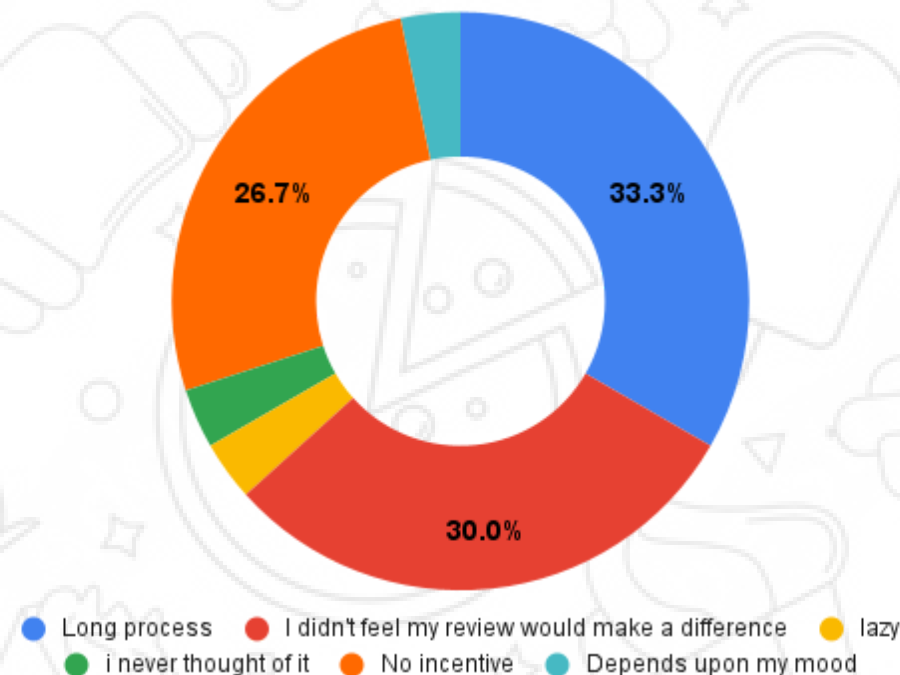
[Survey link](#)



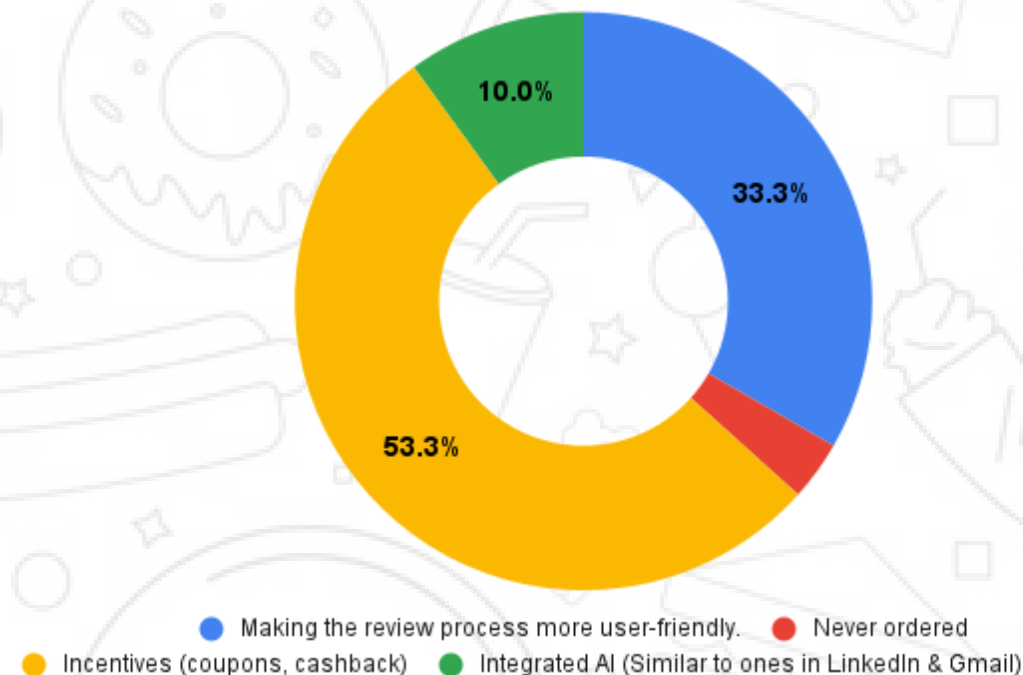
66.6% of users have never leave a review.



26.7% of users left a review when they had a positive experience.



33.3% of users don't leave a review because it is a long process.



53.3% users will be motivated by incentives.



User Persona



Name: Rishi
Age: 25
Location: Bangalore
Occupation: Software Engineer
Fast-paced Lifestyle, often eats out due to busy work schedule.

JTBD Statement: When I want to write a review about an order, But I don't seem to see any reward or perceived value in doing so. Please help me get quick and reliable way to share my feedback, So I can contribute to a more informed food discovery community.

Goal: Wants to appreciate the restaurant by adding a review for his positive experience.

Pain point: Perceives no value in writing a review without any incentive.

User Interview Insights [Interview](#)

Forgetting to Write: Users consistently mention forgetting to write reviews due to busy schedules and not feeling like it's an immediate priority.

Lack of Incentive: The need for reward and motivation is recurring, with users wanting tangible benefits or feeling like their reviews contribute to a more personalized experience.

Accessibility Issues: The review button's placement is frequently mentioned as a reason for overlooking it.

PROBLEM FRAMING CANVAS TO DEFINE THE PROBLEM



What is the true problem?

Zomato's power users, who contribute significantly to revenue and ratings, are not leaving reviews, particularly after positive experiences. This is primarily due to Zomato's design and flow failing to prioritize review generation and actively engage users in the post-order phase.

[🔗 5 Why Analysis](#)

How do we know it is a real problem?

Survey Data: User surveys reveal a significant number of power users who don't write reviews due to forgetting, lack of incentive, and difficulty articulating feedback.

Interview Insights: Interviews with power users confirmed these pain points and provided further details on their frustrations and motivations.

Low Review Volume: Despite having a large base of power users, Zomato experiences a low percentage of reviews, indicating a barrier to review generation.

Who are the customers facing the problem?

Zomato's power users - those who frequently order food through the app, have high order frequency, and engage with the platform regularly.

Why should we solve this problem now?

Growing Market: The food delivery market is rapidly expanding, and Zomato needs to capitalise on this growth by attracting and retaining power users.

Competitive Landscape: Competitors are focusing on enhancing their review systems and offering better user experiences.

Data-Driven Insights: User research gives a clear understanding of problem, allowing Zomato to act proactively.

What is the value generated by solving this problem?

For the target customers:

Improved Decision Making: More reviews will help power users to make better-informed food choices, leading to a more satisfying dining experience.

Increased Rewards: Incentivised reviews will reward power users for their feedback, contributing to a more valuable and engaging platform experience.

For the business:

Enhanced Platform Authority: More reviews will increase the credibility of Zomato's recommendations, attracting new users and driving organic growth.

Improved Restaurant Visibility: Increased reviews will boost the visibility of restaurants, attracting new customers and supporting their businesses.